

DIRECTIVE
FINANCIAL SERVICES BOARD
REPUBLIC OF SOUTH AFRICA



LONG-TERM INSURANCE ACT, 1998 (ACT 52 OF 1998)
SHORT-TERM INSURANCE ACT, 1998 (ACT 53 OF 1998)

Addressee:	Short-term insurers		File:	10/17/1	
Edition	Issue date	Effective date	Directive	Status	Withdrawal date
1 st	29 April 2004	1 August 2004	142.A.i (ST)	In force	-
2 nd	-	-	-	-	-
3 rd	-	-	-	-	-
Subject:	Calculation of the value of certain kinds of assets of short-term insurers				

1. Purpose

The purpose of this directive is to determine the manner in which a short-term insurer has to value certain kinds of assets, namely investments in group undertakings and shares in its holding company.

2. Background

The Registrar of Long-term Insurance has issued Notice 1877 of 2003 that came into operation on 1 August 2003. In this Notice the Registrar prescribes the manner in which a long-term insurer has to value its assets, liabilities and capital adequacy requirements. For purposes of consistency the Registrar of Short-term Insurance decided to introduce similar principles regarding the valuation of certain kinds of assets in the short-term insurance industry.

3. Legal framework

Paragraph 3(1) of Schedule 2 to the Act provides “... *if the Registrar is satisfied that the value of an asset, when calculated in accordance with paragraph 2, does not reflect a proper value, ...the Registrar may direct the short-term insurer to*

calculate the value in another manner which the Registrar determines and which will produce a proper value for that asset.”

4. Definitions

In this directive, unless the context indicates otherwise:

“Act” means the Short-term Insurance Act, 1998 (Act No. 53 of 1998), and a word or expression to which a meaning has been given in the Act, has that meaning;

“capital requirement”, in relation to a regulated financial institution, means the capital or solvency margin, and will include any additional asset requirements, as the case may be, required for that institution by the regulatory authority concerned;

“GAAP” means South African Statements of Generally Accepted Accounting Practice;

“group undertaking” in relation to an insurer, means a juristic person in which the insurer alone, or with its subsidiaries or holding company, directly holds 20% or more of the shares, if the juristic person is a company, or 20% or more of any other ownership interest, if the juristic person is not a company;

“fair value”, means the value of an asset determined by reference to GAAP;

“insurer” means a short-term insurer;

“listed” means listed on a stock exchange or similar trading facility, which is recognised generally by the international community of institutional investors;

“net asset value”, in relation to a group undertaking, means its net asset value calculated in accordance with paragraph 6 of this directive;

“regulated financial institution” means-

- (a) a financial institution as defined in paragraph (a) of the definition of ‘financial institution’ in section 1 of the Financial Services Board Act, 1990 (Act No.97 of 1990);
- (b) a bank as defined in section 1 of the Banks Act, 1990 (Act No. 94 of 1990), or a mutual bank as defined in section 1(1) of the Mutual Banks Act, 1993 (Act No. 124 of 1993);
- (c) a person conducting business similar to the business of an institution referred to in paragraphs (a) and (b), who is not regulated by any law regulating any such institution, but who is subject to substantially similar regulation outside the Republic of South Africa;

“Schedule 2” means Schedule 2 of the Act;

5. Valuation of assets

- 5.1 Assets must be valued as prescribed in paragraph 2 of Schedule 2 to the Act except where it is specifically directed otherwise in this directive.
- 5.2 The value of a group undertaking must be limited to the percentage of the shareholding or other ownership interest of the insurer in the group undertaking, multiplied by the net asset value of the group undertaking.
- 5.3 If the group undertaking is listed, the value in paragraph 5.2 may be increased by -

A multiplied by B,

Where -

A equals the difference between the fair value and the net asset value of the group undertaking, provided that **A** must be taken as nil if the net asset value is larger than the fair value;

B is-

- a) from 1 April 2004 until 31 March 2005: the lower of 40% and the total percentage of the holding by the insurer in the group undertaking;
 - b) from 1 April 2005: the lower of 20% and the percentage of the holding by the insurer in the group undertaking.
- 5.4 If a group undertaking is not a regulated financial institution, and its fair value is less than 0,25% of the value of the liabilities of the insurer, it may be valued at fair value, notwithstanding paragraph 5.2.
 - 5.5 If there is more than one group undertaking as contemplated in paragraph 5.4, each may be valued at fair value, provided that their combined fair value is not more than 2,5% of the value of the liabilities of the insurer. If their combined fair value is more than 2,5% of the value of the liabilities of the insurer, only so many of them, selected by the insurer, as will have a combined fair value of not more than 2,5% of the value of the liabilities of the insurer, may be valued at fair value. The others must then be valued as required by paragraph 5.2
 - 5.6 If an insurer holds shares in its holding company, the value of those shares must for purposes of valuation be limited to the following:

- (a) If the holding company is listed – 2.5% of the value of the liabilities of the insurer.
 - (b) If the holding company is not listed - nil.
- 5.7 Paragraph 5.6 applies also where the insurer, directly, or indirectly through a subsidiary or trust, holds shares in its holding company under a share incentive scheme linked to shares in its holding company.
- 5.8 Paragraph 5.6 does not apply where the insurer holds shares in its holding company under a collective investment scheme.

6. Net asset value of a group undertaking

6.1 If the group undertaking is a regulated financial institution

- 6.1.1 The net asset value of the group undertaking is the value of its assets, less the sum of the value of its liabilities and its capital requirement as required by the regulatory authority concerned.
- 6.1.2 If the group undertaking is a company, and its main business is insurance business, the insurer must, in calculating these values, exclude so much of its capital and reserves as shareholders, other than the insurer, may withdraw in cash when they cease to be shareholders, in terms of the articles of association of, or a contract with, the group undertaking.

6.2 In other cases

- 6.2.1 The net asset value of the group undertaking is the value of its assets, less the value of its liabilities.
- 6.2.2 If the group undertaking carries on most of its business in South Africa, these values must be calculated in accordance with GAAP.
- 6.2.3 If the group undertaking carries on most of its business in another country, these values must be calculated in accordance with accounting standards generally accepted in that country.
- 6.2.4 In calculating these values, the following items must be excluded, to the extent that, according to the insurer, they can be ascertained with reasonable effort and are material:
- a) an amount, excluding a premium in respect of a short-term reinsurance policy, which remains unpaid after the expiry of a period of 12 months from the date on which it became due and payable;

- b) an amount representing administrative, organisational or business extension expenses incurred directly or indirectly;
- c) an amount representing goodwill or an item of a similar nature;
- d) an amount representing a prepaid expense or a deferred expense.

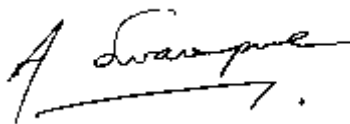
7. Process for the relaxation of a provision

An insurer may approach the Registrar for relaxation of the provisions of this Directive. Each application will be evaluated based on the relevant information provided.

Relaxation will only be considered in order to ensure that the insurer maintains a financially sound condition, either in the short or medium term. Relaxation will not be considered only to improve the financially sound condition of an insurer.

8. Information sharing

This directive is available on the website (www.fsb.co.za) of the Financial Services Board. Insurers must bring this directive to the attention of their appointed auditors and statutory actuaries.



pp REGISTRAR OF SHORT-TERM INSURANCE